

complaint

Mr L complains that AXA Insurance UK Plc has unfairly voided his motor insurance policy and that it subsequently applied an administration fee.

background

Mr L took out a motor insurance policy through a price comparison website which was placed with AXA. In doing so Mr L says he entered all of his information correctly including details of previous claims. But AXA discovered that Mr L had made two theft claims in the previous three years that he had not disclosed when he took out the policy. So, it voided his policy from inception as it said that he had not provided a full and accurate claims history and it would not have offered him insurance if it had been made aware of them at the outset. It also charged him an administration fee of £25.

Our adjudicator did not recommend that the complaint should be upheld. In summary he considered that:

- When Mr L first entered his details on the price comparison website (and they would have been automatically transferred to AXA) there was no mention of two claims being declared. As a result AXA was not aware of them.
- In this case AXA would not have offered Mr L an insurance policy if it had been advised of these claims from the outset.
- AXA had acted fairly in voiding Mr L's policy from inception.
- The £25 administration fee is a reasonable cost for the tasks AXA has carried out in relation to the policy.

Mr L does not agree and has asked for an ombudsman review.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

Having done so, I agree with the conclusions reached by our adjudicator for broadly the reasons given.

Furthermore, the terms and conditions of the policy, which Mr L accepted, make clear that a policy may be voided from inception if a policyholder fails to declare all motoring accidents or claims in the previous three years and that if it does so an administration charge will be applied.

In this case I am satisfied that AXA asked Mr L a clear question but I am not persuaded that he disclosed the two theft claims at the outset. I also note that he did not question the statement in the car insurance schedule that there were no claims or accidents in the last three years.

I am also satisfied that it was AXA's policy not to offer insurance cover if more than one theft claim was disclosed.

As such I am satisfied that AXA has acted fairly and was entitled to void the policy from inception as it did and apply the administration fee. Consequently, I see no compelling reason to change the proposed outcome in this case.

my final decision

My final decision is that I do not uphold this complaint.

Stephen Cooper
ombudsman